



Advancing Managed Retreat in California

Planning Considerations & Buyout-Leaseback Financing Evaluation

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A Changing Coast

California's coast is entering a new era of risk. Sea level rise, erosion, storm damage, and flooding are already threatening homes, roads, public access, beaches, wetlands, and other valued coastal resources. At the same time, many of the strategies California has long relied on to protect the shoreline in place, especially seawalls and other hard protective structures, can narrow beaches, damage habitat, and limit the coast's ability to adapt naturally over time. By contrast, managed retreat refers to the intentional removal or relocation of development away from vulnerable coastal areas to reduce future risk and allow shoreline systems to shift more naturally over time. **This report presents managed retreat as a proactive climate adaptation strategy that merits consideration within California's portfolio of long-term adaptation options to reduce harm, protect public coastal resources, and support more gradual and equitable community transitions.**

Why Managed Retreat Matters

Our findings show that managed retreat offers important public and private benefits. Retreat can reduce long-term exposure to hazards, avoid repeated financial losses, support ecological restoration, and preserve beaches and other public coastal resources. It can also provide private benefits by giving property owners more time, flexibility, and certainty to plan for change. But retreat is difficult because coastal property often provides a large share of personal wealth and local tax revenue, in addition to contributing to neighborhood identity and deep cultural attachment to place. **These challenges point to the need for inclusive community engagement, equity, stewardship of shared coastal resources, better coordination across agencies, clearer public communication, and stronger financial tools to support retreat in practice.**

Financing Retreat Through Buyout-Leaseback

To help address these barriers to retreat in California, this project evaluates a buyout-leaseback (BOLB) approach. Under this model, a public agency would purchase a vulnerable coastal property, then lease it back to the owner for a limited period until a defined risk trigger is reached and retreat becomes necessary. This approach separates ownership from occupancy, diversifies long-term coastal risk between the homeowner and the public sector, and is intended to partially recoup public acquisition costs through interim lease revenue. **By allowing homeowners to sell an increasingly risky property while staying in it for a limited time, BOLB may make voluntary participation more appealing.**

In flood-prone communities, modeled public net costs were roughly 65% to 86% lower than property market values because lease revenue offset part of the upfront acquisition cost. **In bluff and cliff settings, the model produced an even stronger result under current assumptions, with leaseback revenue generating net public benefits.** The analysis shows that neighborhood-scale retreat through BOLB may be financially comparable to, and in some cases more favorable than, other adaptation investments considered in high-risk coastal areas. It also points to the importance of timing, where participating earlier may help homeowners retain more value and shift risk before damages accumulate. **Together, these results show that BOLB could make proactive, voluntary retreat more financially realistic and publicly feasible for some communities.**

Our Approach

This project combines thematic analysis and case study modeling to examine where and how managed retreat through a BOLB program may be possible. It draws on literature, legal and policy materials, and public-facing documents to identify the key values, tradeoffs, and implementation challenges surrounding managed retreat in California. It also develops a property-level economic model and applies it in **five case study communities—Carpinteria, Isla Vista, Pacifica, Stinson Beach, and King Salmon**—to compare how BOLB outcomes vary across hazard types, housing markets, and local contexts.

Pathways Forward

The findings suggest that BOLB merits further evaluation as a financing pathway for managed retreat in California. Key next steps include building community trust and legitimacy, testing BOLB through pilot projects, and strengthening the policy and planning foundation needed for implementation.

How to Use This Report

This report was prepared for the California Coastal Commission and the UCSB Ocean and Coastal Policy Center as an informative resource for policymakers, planners, researchers, and interested community members considering the future of shoreline adaptation in California. Its findings should not be used directly for parcel-, site-, or neighborhood-scale planning decisions. Rather, they are best understood as a proof of concept and a framework for further evaluation.

Carpinteria

\$530k

Median property net cost

\$75 M

Total neighborhood net cost

22

Median years to retreat

Isla Vista

-\$660k

Median property net cost

-\$24 M

Total neighborhood net cost

34

Median years to retreat

King Salmon

\$110k

Median property net cost

\$6.5 M

Total neighborhood net cost

22

Median years to retreat

Key BOLB model results for three of the five case studies analyzed in this report. Summary statistics include only properties with a modeled retreat year that falls within the project planning horizon (2026-2100).



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